

Procure Space ETF

SPCX NASDAQ

Hold	\$150.87 ▼ 2.49%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.99T
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SPCX: Space ETF Cools as Share Unlocks Loom

WHAT HAPPENED

- SPCX is down four sessions in a row — not a crash, just a slow bleed off recent highs. The overnight catalyst that matters: GuruFocus flagged another SpaceX share unlock (more private shares becoming tradeable), which is a big deal because SpaceX is a top holding in this ETF and increased float typically pressures valuations.
- Volume today (~25M) is way lighter than last week's 335M spike on the 18th — that tells me the selling is more drift than panic, but nobody's stepping in to buy the dip yet either.

WHY IT MATTERS

Here's what to actually think about: SPCX is basically a levered bet on the commercial space economy, and right now two things are pulling in opposite directions. On one hand, the Trump administration's "Golden Dome" missile defense initiative — the \$175B space-based missile shield announced in 2025 — is a massive tailwind because it funnels defense dollars directly to space contractors like SpaceX, Rocket Lab, and satellite companies that dominate this ETF. On the other hand, when SpaceX unlocks more shares (meaning insiders and early investors can now sell), that can pressure the private valuation that funds like this use to mark their holdings. The pullback is likely digestion, not a trend break — but you need Golden Dome funding to actually flow through appropriations before this rerates higher.

POLICY & POLITICAL WATCH

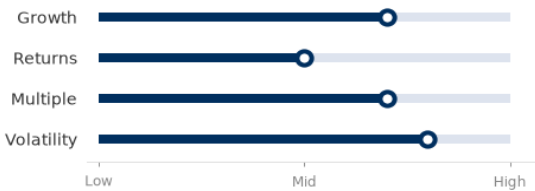
The big one to watch is the FY2027 defense appropriations bill working through Congress right now — Golden Dome funding is the single most important line item for the space sector, and any signal that it gets trimmed or delayed hits SPCX hard. Also on the radar: the FAA's commercial launch licensing reform (the administration has been pushing to streamline approvals, which directly helps SpaceX and Rocket Lab launch cadence) and ongoing ITAR export rules that limit which foreign customers space companies can sell to. Net-net, the regulatory environment is the friendliest it's been for commercial space in a decade — but that's mostly priced in.

IS IT EXPENSIVE?

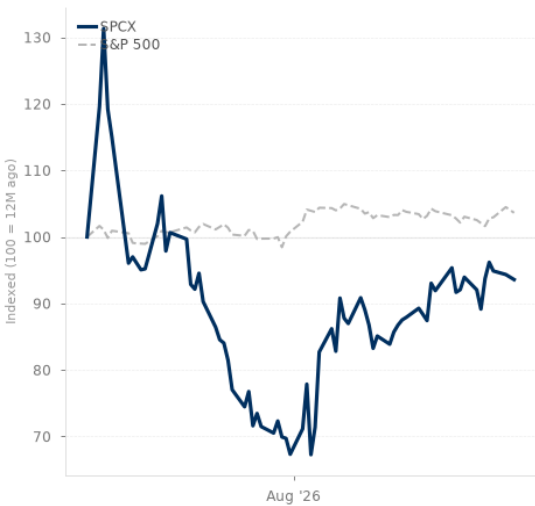
Key Data

Price (USD)	\$150.87
12M Price Target	\$165.00
Upside / (Downside)	+9.4%
Market Cap	\$1.99T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$162.00	\$152.00	\$140.00
6 Months	\$185.00	\$165.00	\$130.00
1 Year	\$210.00	\$170.00	\$120.00
2 Years	\$260.00	\$195.00	\$110.00
5 Years	\$380.00	\$260.00	\$130.00
10 Years	\$600.00	\$400.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.29%) and Industrials (+0.27%) — classic late-cycle defensive rotation, and industrials benefit directly from defense/space spending momentum.

COOLING OFF: Energy (-4.93% over 5 days) is getting hammered on oil weakness, and Tech is taking a breather after a monster 5.96% week — some of that money is looking for a new home.

ROTATION WATCH: Money is drifting from mega-cap tech into industrials and defense-adjacent names as investors position for FY27 defense appropriations. That's a slow-burn tailwind for SPCX but the ETF hasn't caught the bid yet.

RELATED PLAY: If space keeps running, the picks-and-shovels play is defense primes like LMT and RTX, plus satellite communications names — they'll ride Golden Dome without the private-valuation risk that SPCX carries.

WHO'S WINNING IN THIS SPACE?

- RKL B (Rocket Lab): Winning on launch cadence and the Neutron rocket program — direct Golden Dome beneficiary
- LMT (Lockheed Martin): Prime contractor positioning on missile defense architecture, less speculative than pure-play space names

SPCX CONTEXT: SPCX is lagging the broader defense complex right now because of the SpaceX unlock overhang. That gap should close once the unlock digests — but if it doesn't, that tells you the market is quietly repricing private space valuations lower, and that's a yellow flag.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term setup but the near-term supply/demand for SpaceX shares makes me want to wait for a better entry.

POSITION SIZE: 2-4% — this is volatile and concentrated in a few private names, so don't oversize it even if you're bullish on space.

ENTRY POINTS: I'd add on pullbacks to \$140-145, which would put it near the lower end of its recent range and let you buy after the unlock overhang clears.

TIME HORIZON: 12-24 months — the real catalyst is Golden Dome contract awards flowing through in 2026-2027.

WHEN TO BAIL: If Golden Dome funding gets stripped from the defense bill, or if SpaceX takes a valuation markdown in the next funding round, this thesis breaks.

HEDGING: Pair a SPCX position with a small short in ARKX or a broad defense ETF — that way you're betting on SPCX outperforming its peers rather than betting on the whole sector going up.